

CITY COUNCIL MEETING MINUTES

May 19, 2025

Cadillac City Hall - 200 N. Lake St. - Cadillac, Michigan 49601

CALL TO ORDER

The meeting was called to order by Mayor Schippers at approximately 6:00 pm.

PLEDGE OF ALLEGIANCE

ROLL CALL

Council Present: Elenbaas, Hopkins, Engels, French, Mayor Schippers

Council Absent: None

Staff Present: Peccia, Roberts, Dietlin, Genovich, Wasson

APPROVAL OF AGENDA

2025-120 Approve agenda as amended.

Motion was made by Engels and supported by French to approve the agenda as amended to add Appointment of Travis Owens as DDA Director & Main Street Program Manager/Cost Sharing Agreement and add City Manager Update under the City Manager's Report.

Motion unanimously approved.

PUBLIC COMMENTS

Carla Moore asked about the possibility of financing half of the cost of the new fire truck and then use some of the money we were going to spend to hook up the remaining wells in Cadillac. She suggested that when we get the new truck to plan a big party, have a demonstration, and maybe have a contest for the grade school kids to pick a name for the truck.

Jim Canfield expressed concerns about the proposed increase in water and sewer rates. He asked that every option be exhausted before putting this burden on the backs of the people who can least afford it.

Brad Marine expressed concerns about the absence of City representatives at the recent PFAS town hall meeting. He discussed the City Manager not following the bylaws of the LDFA and the City Council not holding him accountable.

Jerica Kiley stated every child in Cadillac deserves clean water, open leadership and a safe place to grow up.

Alicia Garber expressed concerns about biosolids and the alarming impact on our land, food, water and ultimately our health.

Dave Maynard expressed support for the proposed utility rate increases. He noted he believes the City is managing our infrastructure in a very positive way and is doing a fantastic job of delivering clean water

to the people.

Susan Giftos, Cadillac Advocates for Clean Water, stated she is glad the City is testing private wells for PFAS. She noted her group has been doing that all over the community and in Haring Township for a while. She expressed concerns that people that had their wells tested in early April have not received their test results. She noted she is aware of a person on City water with a trace of PFAS in her test results. She stated she doesn't know if it was a contaminated test result. She asked when was the last time the public municipal water was tested.

Julie Theobald, Wexford County Commissioner, noted she hears from people who feel the City Council is not listening to them. She mentioned the proposed utility increases and asked that the City to look at other means. She offered to help facilitate between City Council, the County, the citizens and the neighborhood.

PFAS UPDATE

Mayor Schippers noted we moved the PFAS Update on the agenda based on some feedback from citizens asking to put this item closer to comments because often comments are related to PFAS.

Peccia stated claims that he or the City has poisoned people and acted negligently causing harm or death is patently false and completely ridiculous. He noted people spreading that misinformation should be ashamed of themselves. He mentioned the recent town hall event marketed by Up North Live. He noted he sent out a news release on behalf of the City advertising that town hall event as well as the one that the Michigan PFAS Action Response Team (MPART) doing on May 29, 2025. He stated the News Director of Up North Live reached out to him, the Utilities Director and the Mayor asking if we would be willing to be on the panel. He noted we inquired who was on the panel in terms of the MPART, the health department, EGLE or the EPA. He stated he was told that they had all declined the invitation and subsequently so did we.

Peccia noted unbeknownst to him until he saw part of the televised event, there was a City official, Chair of the LDFA, who was a member on that panel, did participate on that panel, and is without a doubt an official of the City. He stated there was an overly dramatic empty chair stunt showing that the City was not involved but as it turned out the City was involved.

Peccia stated the third update from MPART will be held at 11:30 am on May 29th at the City Water Headquarters located at 7241 E. 44 Road. He noted there is a flyer and a QR code available on the City's website. He stated they are seeking people to send questions in advance. He noted the City will have officials in attendance.

Peccia asked Jeff Dietlin, Director of Utilities, to provide an update regarding testing, test results that we may or may not have at this point and about biosolids.

Jeff Dietlin, Director of Utilities, stated there was a miscommunication with Cyclopure and our residents. He noted Cyclopure did not send the letters out until last Thursday to people so that is why they haven't received them. He stated we have 48 tests completed in the City and we have 32 of those results back and 10 are still at Cyclopure. He noted 2 of the completed tests were from residents that live in the study area so we gave their information to the State of Michigan. He stated 4 were outside the

study area but people did self-tests or did the EGLE testing and that makes up our 48 tests. He noted we are waiting for about 10 test results and 7 of those are being retested because Cyclopure sent us a letter that they were installing a fume hood and they think they contaminated 7 samples. He stated 3 have been resampled, 2 are scheduled to be resampled this week and we are trying to get a hold of the other 2 to schedule a time to resample.

Dietlin noted in regard to biosolids, Cadillac produces Class A EQ material. He stated there are four places in the State of Michigan that produce biosolids like we do and everybody else makes a brand that isn't as stringent as ours and isn't tested as much as ours. He noted our biosolids tested non-detect for PFOS and PFAS. He stated in 2018 the State started looking at this and we had to go to all of our industries and they had to go through their manufacturing systems to make sure they were not using PFAS, PFOS or any of the P's and because of that we don't get it into our plant. He noted we have a very aggressive IPP program. He stated we do get some PFAS materials into our plant and some leaving the plant but we have to test our biosolids 4 times per year to maintain that Class A EQ status. He noted the last test results were non-detect. He stated the farmer we use called him and said people are driving by his house and his fields and also calling his cell phone. He noted the farmer is being asked if he knows about biosolids. He stated the farmer is very intelligent and he tries to educate the people that are calling him but they are not interested. He stated he never thought that people would harass somebody for the right to farm.

Peccia asked Dietlin to provide a brief update on the City water supply and its correlation to PFAS and testing.

Dietlin stated we test yearly because that is what the State of Michigan requires. He noted the EPA has come out with a new mandate that we have to test in the four quarters. He stated in 2025 we will be testing in early June and then again in September. He stated we have the Unregulated Contaminants Monitoring Rule (UCMR) and he thinks we are on number six now. He noted every once in a while, the EPA comes out with a bunch of contaminants they want you to test for and the last 2 or 3 have had various PFAS compounds on them and we have been non-detect on all of them.

Dietlin noted if we did ever get a contaminant, either one of our wellfields can supply the whole City of Cadillac with water.

Mayor Schippers asked Dietlin to provide a brief update on where we are with getting the people in the LDFA area hooked up to City water.

Dietlin stated we had 3 people in the area that were not hooked up. He noted one we hooked up early, one wanted to stay on his well but as of last Thursday he was hooked up, and the third building has a demolition permit pulled for it. He stated he has already contacted the owners and he believes they are planning to build a storage building but they said if they built something else they would want to hook up to municipal water.

Engels mentioned the quarterly testing on biosolids and noted the last quarter we tested at 1-2 parts per trillion and now we are non-detect. He asked how often we test the effluent going into the Clam River and about the last test results.

Dietlin stated we test the effluent 3 times per year and we were below the new federal drinking water

standards.

Engels stated when Cyclopure tests are done, we are paying for them and we get a copy of the results as well as the residents. He asked if we are following up with the people regarding their test results.

Dietlin stated if anybody has a test result showing something we are reaching out to them, especially now that we know that they were not getting the test results from Cyclopure. He noted he has seen one result that was problematic.

Engels stated one of the reasons that we talked about this was to be able to plot the data points on the City map as the data is collected. He asked if we are encouraging people to contact the Clean Water Advocates and/or are we plotting them on our own map. He asked as we move forward with decisions, if grant money becomes available and we have to decide where that grant money goes how are we collecting and using that data and encouraging residents to put that data out there.

Dietlin stated when we do the testing we tell them that we are sharing their data with the State of Michigan and will also be sharing it with the Clean Water Advocates. He noted the Clean Water Advocates will be sharing some of their data with us. He stated the data will be plotted on our GIS so we know where we need to extend our infrastructure.

Engels stated he believes the misses are just as important as the hits when you are isolating a single area.

Engels noted as the test results are coming back, some people have water mains or water lines in front of their house and we have talked about our current system for special assessment on the City portion versus what the resident is expected to cover. He asked for more information regarding the special assessment process.

Peccia stated there is language in the City Code regarding how to establish a special assessment for a whole area as well as language regarding how to establish a special assessment just for one. He noted he believes that the amount of time that could be maxed out is a 20-year period. He stated there are some steps that we still need to get further clarified by legal. He noted he is hoping to put together a flyer within the next couple of weeks that will make it a lot more user-friendly versus just asking people to look at our City Code. He stated part of the process would require them officially notifying us that they are interested and then we would work with engineering to develop an estimated price quote. He noted ultimately it has to be referred to City Council to establish the assessment area.

Peccia stated he is unsure what happens if we get a grant and somebody has already paid for it if we can legally go back and reimburse them for those costs. He noted there is also a policy question that Council will need to contend with regarding whether or not the City is going to help defray any of the costs. He clarified that the special assessment would be on the property not the person so it stays with the property.

Peccia noted there are about 220 private wells within the City and about 150 of them have access today to a water main. He stated there are about 20-25 homes on Marathon Drive and we have applied to see if we can get any outside funding to get that extended.

Engels asked with that 20-year special assessment does that have to stop when the private service line

begins or are we suggesting that even that private service line can be part of the special assessment.

Peccia stated it does need to be reviewed by legal but if it could include all of it he thinks it would provide a better project and opportunity for the homeowners.

CONSENT AGENDA

2025-121 Approve consent agenda as presented.

Motion was made by Elenbaas and supported by Hopkins to approve the consent agenda as presented.

Motion unanimously approved.

PUBLIC HEARINGS

- A. Public hearing to consider adoption of Ordinance to Amend Section 42-201 and 42-202(3) of Chapter 42 of the City Code to Adjust Water Rates in the City of Cadillac.

Peccia noted there will be one presentation covering the proposed water and sewer rate increases but there will be two public hearings and two Council actions.

Owen Roberts, Director of Finance, introduced our rate consultant, John Kaczor from Municipal Analytics.

John Kaczor, Municipal Analytics provided a Water and Sewer Rate Analysis Summary Presentation. (see attachment)

Roberts noted we have focused on being a low-cost system while still being high-quality and that is something that can be challenging to balance. He stated our industry isn't huge but there are comparable things we can do to look at our affordability relative to some of the other people in the industry.

Roberts stated in one survey there were 53 communities and when you total your water and sewer bill, Cadillac is the lowest out of those 53 communities. (see attachment – Community Water and Sewer Rate Comparisons – November 2024)

Roberts noted the other study we've cited regularly is provided by Gosling Czubak Engineering Sciences. He stated in this study; Cadillac has the sixth lowest water rates and the seventh lowest in sewer rates. (see attachment - 2025 Water & Sewer Rate Study - Gosling Czubak Engineering Sciences, Inc.)

Roberts stated he sent out a message trying to gauge what some other communities were doing in terms of their annual adjustments. He noted we are not inconsistent with the communities that responded. (see attachment - Water/Sewer Rate Adjustment Comparison)

Roberts noted John Kaczor did show this particular chart in his presentation, but he wanted to highlight it again (see attachment – Water and Sewer User Rate Adjustments – Last 15

Years). He stated including the proposed changes for the current year our average water rate change has been 3.2% and the average sewer rate change has been 2.7%

Roberts stated we have spent about \$10 million since 2010 on water and sewer projects and investments. He noted we have really focused on affordability, and he believes as John's information shows part of that has been to the detriment of having the funds to make ongoing investments. He stated it is time to make some difficult choices to try and make sure that we can keep our pure water system pure and operating efficiently and effectively.

Roberts noted in 2019 we had a big event that eliminated something that helped us for a number of years and that was leachate treatment from the landfill. He stated we went from \$494,000 to zero in one year. He noted at the time that \$494,000 represented 12.5% of our budget.

Mayor Schippers opened the public hearing.

Julie Theobald expressed concerns about the proposed rate increases. She noted that water is not considered a utility in the State of Michigan. She stated there are a few organizations that may provide assistance but for the most part non-profits cannot help with water bills. She suggested lowering the \$75 turnoff/turn-on fee to help low-income individuals. She asked about renting an additional waste container from the City

Steve Barnes stated the price of everything has increased and expressed support for the proposed rate increases. He encouraged Council to review the five-tier system.

Mayor Schippers closed the public hearing.

Engels asked about the process that is used when somebody gets behind on their water bills.

Dietlin explained that when a person uses water in January we would conduct a meter read at the end of January and a bill would be sent out mid-February that would be due on March 5th. He stated if they don't pay that bill the next bill issued would say they may be shutoff and that bill would be due on April 5th. He noted the next bill would say they may be shutoff and the bill would be due on May 5th. He stated before June the person would receive a special letter saying we are coming to shut your water off and ask them to call and make a payment arrangement. He noted we will accept any arrangement as long as it makes sense. He stated after they make the payment arrangement, we tell them that if they cannot make this payment plan to call and we will make a different arrangement. He noted we allow them to change the payment plan once and after that we hold firm. He stated we do tell people where they can go for assistance.

Mayor Schippers stated somebody brought an idea to her and she's not sure how it would work with water and sewer bills. She noted there are programs that a person can opt to round up to the nearest dollar on a bill and then that difference would be placed into a fund to help people who are experiencing hardship. She suggested that we look into the possibility of that type of program.

Engels noted when we were reviewing the CIP we discussed the possibility of changing the tiered rating system and how it will affect the businesses in the industrial park. He stated they have been informed about this and he asked City Manager Peccia to elaborate on this topic.

Peccia stated we started the conversation through a couple of different groups that he's a member of which are the Cadillac Area Industrial Fund and the Cadillac Area Industrial Group. He noted most of these companies, whether they are publicly or privately held, are owned by international groups. He stated their edict has led to water-saving, environmentally friendly technologies which help them save on their usage. He noted we need to make sure we have a system that is sustainable and is going to be able to provide for both our businesses and residents.

French asked if they seemed to be open to changing this tier system.

Peccia stated he believes they understand that change will ultimately be coming.

2025-122 Adopt Ordinance 2025-05.

Motion was made by Engels and supported by French to approve the resolution to adopt Ordinance to Amend Section 42-201 and 42-202(3) of Chapter 42 of the City Code to Adjust Water Rates in the City of Cadillac.

Motion unanimously approved.

- B. Public hearing to consider adoption of Ordinance to Amend Section 42-374 Chapter 42 of the City Code to Adjust Sewer Rates in the City of Cadillac.

Mayor Schippers opened the public hearing.

There were no public comments.

Mayor Schippers closed the public hearing.

2025-123 Adopt Ordinance 2025-06.

Motion was made by Elenbaas and supported by Hopkins to approve the resolution to adopt Ordinance to Amend Section 42-374 of Chapter 42 of the City Code to Adjust Sewer Rates in the City of Cadillac.

Motion unanimously approved.

- C. Public hearing to consider adoption of Ordinance Establishing General Appropriations Act for Fiscal Year 2026.

Roberts displayed and reviewed a document showing the budget process. (see attachment – Budget Hearing Required by City Charter)

Mayor Schippers opened the public hearing.

There were no public comments.

Mayor Schippers closed the public hearing.

2025-124 Adopt Ordinance 2025-07.

Motion was made by Elenbaas and supported by Hopkins to approve the resolution to adopt Ordinance Establishing General Appropriations Act for Fiscal Year 2026.

Motion unanimously approved.

COMMUNICATIONS

A. Freedom Festival

2025-125 Approve requests for Freedom Festival.

Motion was made by Hopkins and supported by French to approve the display of a banner, parades, 5k race, street closures, parking lot closures, and fireworks display for the Cadillac Freedom Festival as presented.

Motion unanimously approved.

CITY MANAGER'S REPORT

A. Story Stroll – Great Start Collaborative Wexford-Missaukee-Manistee Counties

Peccia noted the Great Start Collaborative approached City staff with a concept of installing a deconstruction of a children's story through visual aids. He stated they worked with staff to determine the locations of the 16 display panels along the McKellop Walkway near the Naval Reserve. He noted the display panels would be approximately 24x19 inches mounted on posts about 2.5 feet above ground level because they are designed for young children. He stated Great Start Collaborative has committed to covering all associated costs including materials, installation, ongoing maintenance, and monthly updates of the featured books.

French asked if the stories will be changed.

Deb Simon, Great Start Collaborative, noted the story will be changed every month even through the winter. She stated they have snowshoes that can be borrowed. She noted that they will deconstruct two different books, laminate the pages and place them in the display panels. She stated they can do fun things like putting a QR Code in there for activities for the parents or caregivers to do with the children during the story stroll and they can also give away a copy of the book so it's going to be very interactive.

2025-126 Approve Story Stroll concept and location.

Motion was made by Hopkins and supported by French to approve the proposed Story Stroll concept and location.

Motion unanimously approved.

B. Cadillac Lofts Development and Reimbursement Agreement

Peccia noted this is regarding Phase 2 of the Cadillac Lofts. He stated there was a very large Brownfield Plan along with a half dozen other incentives and abatements through the State of Michigan and even the federal government as part of Phase 1. He noted the opportunity for a new tool became available through the State of Michigan called the Residential Brownfield Tax Income and Financing Tool that many developers are now taking advantage of. He stated Cadillac Lofts in conjunction with the City realized that it would be a lot less complex to switch over to this new Residential Brownfield TIF. He noted the Brownfield Authority and the City Council have already put this new tool in place over the last few months. He stated in order for the City to be able to capture the new revenues coming through this new tool we need to have an updated and restated development and reimbursement agreement.

2025-127 Approve Cadillac Lofts Development and Reimbursement Agreement.

Motion was made by Elenbaas and supported by Engels to authorize the Mayor to execute the Amended and Restated Development and Reimbursement Agreement between Cadillac Lofts, LLC and Cadillac Lofts 2, LLC, the City of Cadillac Brownfield Redevelopment Authority and the City of Cadillac, with final review as to substance by the City Manager and as to form by Counsel.

Motion unanimously approved.

C. Appointment of Travis Owens as DDA Director & Main Street Program Manager/Cost Sharing Agreement.

Peccia stated the cost-sharing agreement was sent to City Council and will be included in the public minutes (see attachment). He noted for many years the DDA Director responsibilities were simply a line item under the job description of the Community Development Director. He stated we are in the process of hiring a new Community Development Director while also in the process of becoming officially certified as a Main Street USA Program. He noted part of that program is that it requires you to have a Main Street Program Manager. He stated in working closely and collaboratively with the DDA a decision was made to bifurcate the Community Development Director position away from also serving as the DDA Director and then merging the DDA Director responsibilities and duties with those of the new Main Street Program Manager.

Peccia noted we then learned that we need City Council, because of the DDA provision on this, to ratify the appointment of the DDA selection. He stated that while the DDA is under the official umbrella of the City and absolutely has the legal authority to hire people they don't have the superstructure in place like a finance department or a payroll department to essentially manage that person. He noted this agreement stipulates that this person is going to be paid by the DDA, overseen by them and him, and will receive payroll checks and benefits as a City employee. He stated the agreement will also need to be approved by the DDA.

2025-128 Approve appointment of DDA Director & Main Street Program Manager.

Motion was made by Hopkins and supported by Elenbaas to approve the appointment of Travis Owens as the DDA Director & Main Street Program Manager.

Motion unanimously approved.

2025-129 Approve Cost Sharing Agreement.

Motion was made by Hopkins and supported by Elenbaas to approve the Cost Sharing Agreement – City of Cadillac and City of Cadillac Downtown Development Authority.

Motion unanimously approved.

D. City Manager Update

Peccia noted that currently anyone with an internet connection can view the meetings. He stated that last week he approved the installation of a line that will provide the City with the ability to once again broadcast live meetings on cable TV.

Roberts noted he was told it will take 6-8 months for this to occur.

Peccia stated there is a feature on our website called Archive Center located under Cadillac Quick Links. He noted it contains financial documents, reports, boards and commissions agendas, minutes, and packets, and other interesting documents that have been produced over the years. He stated we are pledging to do our best to make it more up to date.

INTRODUCTION OF ORDINANCES

A. Adopt resolution to introduce Ordinance Amending the City Zoning Ordinance Regarding Variations in R-PUD Designs and set a public hearing for June 2, 2025.

Peccia noted this is something that Council adjudicated on about a year ago. He noted the recommendation from the Planning Commission was to add a time frame of one year to use R-PUDs and it was approved by City Council. He stated we were hoping that we would have our zoning code rewrite done but we don't. He noted we do have a grant in place to help us get that over the finish line with a consultant. He stated this is a tool that is being used in several places within the City and if it goes away it will stop our economic development, especially in the residential side. He noted the recommendation from the Planning Commission was to extend it for another year through April of 2026. He stated tonight Council is only being asked to set a public hearing for June 2, 2025.

Engels stated we have talked about the grant money we received, and he knows we are looking for a Community Development Director. He asked if we have an updated timeline.

Peccia stated we are nearing the end and are anticipating an offer going out this week so hopefully within the next 30-60 days we will have a new person onboard. He noted Jerry Adams, a former Community Development Director, has been working part-time to be the glue in the interim period.

2025-130 Set public hearing for Ordinance 2025-09.

Motion was made by Engels and supported by French to adopt the resolution to introduce Ordinance Amending the City Zoning Ordinance Regarding Variations in R-PUD Designs and set a public hearing for June 2, 2025.

Motion unanimously approved.

ADOPTION OF ORDINANCES AND RESOLUTIONS

A. Adopt Resolution Amending General Appropriations Act for Fiscal Year 2025.

Peccia noted a few times a year City Council is asked to consider amending the General Appropriations Act. And we typically do this around this time of year as we near the end of the fiscal year.

Roberts reviewed the proposed FY2025 Budget Amendment. (see attachment) He noted he is requesting a change to the amendment provided based on an email he received today. He stated under Special Projects is where we are accounting for the Rotary Playground Project that is mostly funded from donations from the Rotary. He noted we have approved the purchase of the playground equipment that is not going to be here until July. He stated they originally told him that they needed a 50% down payment and then they told him they needed a PO. He noted he provided a PO based on the approval. He stated he received an email today stating that they haven't received our 50% down payment. He noted he thought it was one or the other and he thinks they thought it was both. He stated on that line item instead of going from \$5,000 to \$45,000 which covers our match and engineering fees, he is asking to go to \$95,000 to make a \$50,000 down payment on the purchase of the playground equipment. He noted that playground equipment was covered by a donation.

2025-131 Adopt Resolution Amending General Appropriations Act for Fiscal Year 2025.

Motion was made by Elenbaas and supported by Hopkins to adopt the Resolution Amending General Appropriations Act for Fiscal Year 2025 as presented.

Motion unanimously approved.

MINUTES AND REPORTS OF BOARDS AND COMMISSIONS

A. Cadillac West Corridor Improvement Authority

Mayor Schippers noted she attended the recent meeting of the Cadillac West Corridor Improvement Authority. She stated at that meeting they amended their bylaws so that it did not need to be the Mayor that attends the meetings but they discussed that it was important to have a Council Member attend. She noted there are going to be some meetings that she will not be able to attend due to prior commitments. She asked if anyone else on Council is willing to be appointed as our representative.

2025-132 Appoint Council Member Hopkins to the Cadillac West Corridor Improvement Authority.
Motion was made by Elenbaas and supported by Engels to appoint Council Member Hopkins as Council's representative on the Cadillac West Corridor Improvement Authority.

Motion unanimously approved.

PUBLIC COMMENTS

Brad Marine noted the City Manager had stated that the City would not participate in the recent PFAS town hall meeting. He stated Matt Schichtel from the LDFA took it upon himself to attend the town hall so to claim responsibility for the City participating through Matt is deception. He asked Jeff Dietlin to bring copies of the test results so the public can see them. He asked Mayor Schippers about the creation of a PFAS task force that she had talked about. He noted the Mayor has created an advisory group.

GOOD OF THE ORDER

Engels stated he doesn't think at any point we pretended that we sent Matt Schichtel to the town hall meeting. He noted he watched the meeting and Matt Schichtel answered questions that he was asked because he is on the LDFA. He stated there is going to be an MPART meeting at the Water Headquarters. He asked for a discussion about the LDFA at the next Council meeting. He noted that bylaws are a set of rules that the board follows but they are amendable so he believes it is a discussion that is worth having. He noted he appreciates the steps we took tonight towards improving transparency and getting our meetings back on Spectrum. He stated he believes meeting minutes and record-keeping matter. He noted it's not only important that we post the minutes but that the minutes are quality because you don't know who's going to need them and what they are looking for in the future.

French noted she watched the live town hall meeting and thought it was great. She stated it was great to see the citizens group panel act professionally about the subject and she commends Bill Barnett for gathering this group together and providing all the information about the private well testing. She noted she commends the work that the group is doing. She stated she was on the citizens group when the LDFA got started back in the 90s so she appreciates the volunteer activism that's taken place in our community. She noted she looks forward to the City working with the citizens group on the PFAS issue.

French noted seniors 62 years of age or older that don't generate a lot of trash can save money on their trash refuse by buying two rolls of 10 yellow bags for \$40 a year. She stated that if people give up their trash container and just use a yellow bag once or twice a month, the trash pickup amount will be eliminated from their bill.

Elenbaas noted we seem to have a lot of people in the City who are upset. He stated we have an election in November so if anyone wants to affect change, they should raise their hand and run for City Council. He asked the City Clerk when the nominating petitions are due.

City Clerk Wasson noted they are due by 4:00 pm on July 22, 2025.

Elenbaas noted there are three Council seats opening so people should give it some serious consideration.

Peccia noted the Director of News Strategy with 9&10 News just reached out and advised that they have been in contact with EGLE and will be live streaming the EGLE-based town hall on May 29th.

Peccia stated he never said that we appointed anybody from the City to be on the panel at the recent town hall. He noted he wasn't aware that the Chair of the LDFA was going to be on the panel but yet he was there and in that role he is an official of the City.

Mayor Schippers noted she wanted to address the task force concept that was mentioned. She stated she's not sure if she used the words "task force" because she was looking for an advisory committee. She stated she believes a task force is a group of experts and we have a PFAS task force in Cadillac, MPART, that is working, sampling and mapping and those are the experts. She noted she has formed an advisory group and during the meeting they discussed water and PFAS and what we do moving forward.

Mayor Schippers read the following prepared remarks:

Tonight, we made the painful but essential decision to raise water and water treatment rates for ourselves and our neighbors. This was an act of water protection. Yesterday I attended a memorial for Holly T Bird, a renowned indigenous water protector, tribal judge, school board member, community organizer and friend. Toward the end of the memorial we participated in a water ceremony, where more than a dozen indigenous women carried water in copper vessels to share with all of us gathered there. It became crystal clear, like water, that protecting water takes all of us all the time. We can learn so much from water. We can learn so much from each other.

This brought to mind our issues with water here in our city. I realized that I've never publicly thanked the group of individuals who have helped bring PFAS into the light in our community. That includes Susan, Mary, Bill, MPART, and the excellent reporting by Chris at the Cadillac News. Thank you. Then I started thinking about Cadillac's historical relationship with water and water contamination. I recalled how Cadillac set up the LDFA to clean up a super fund site caused by industrial contamination back in the 90s. I listened to Michelle, who was one of the whistleblowers who revealed that, and how it led to solutions: the LDFA was created and tasked with extracting water from the contaminated aquifer and removing the identified contaminants, a job done so well, by the way, that every single test since the 90s has shown decreases in the contaminants. Perhaps meetings over the years were handled sloppily, but the essential work never was. NEVER. My friend Dave, who is a water pathologist at EGLE reminded me that Cadillac's municipal water and effluent has never failed a test. Never.

Now we face a newly identified contaminant, and again, Cadillac is responding with solutions to protect folks from consuming it. We are expanding testing to city residents to help test their private wells. We are providing bottled water to affected households. We are searching for grant funding to expand infrastructure into city neighborhoods with contaminated wells. We have reached out to our neighboring townships with offers to cooperate in providing safe water to their citizens as well. We, and by we I mean the excellent and hard-working staff that work every day for all of us, are doing everything we can... so far.

But now we are dealing with something different than the industrial pollution exposed in the 90s, in that PFAS does not come from a single source. It comes from everywhere. It is everywhere. Even if there are traces in our wastewater, remember that it is OUR wastewater. I grew up in a family with 10 children in 13 years. You can imagine the squabbles that happened every day. When we would angrily point our

fingers at each other shouting, “He did that!” or “It’s her fault!” My mother would ask us to point to our offending sibling, which I, of course, would do willingly, and with righteous indignation. Then my mother would tell us to turn our hand over. There we would see that while one finger pointed away, three fingers pointed back at us.

I’ve been looking for information on major sources of PFAS and found some very useful sites. PFAS is in so many of our daily household products. We pour it down drains, flush it away, put it in plastic trash bags that go into a plastic lined landfill, and yet we are screaming and pointing at Marcus and the city searching for someone to blame for PFAS.

Yesterday at my friend’s memorial, one thing became incredibly clear. To protect water, we must be like water. We must flow. Now, for me, especially in the position I find myself in as Mayor, I’m asking that all of us take a lesson from Holly, and my mother. Now that we know it’s there. We know it’s harmful. We know that municipal water is not contaminated because it’s tested by scientists regularly. Now that we know... let’s flow toward the long-term solution which is to reduce our use of PFAS.

There are really useful sites on the internet, as always, some are more reliable than others, of course, and don’t immediately trust sites that are trying to sell you something. Epa.gov has a page called Safer Choice. There you can find out which cleaning, cosmetic, packaging and other products are PFAS free. Maybe we can each start making small changes to bring the flow of activism into each of our homes, thereby limiting the flow of contaminants into the environment.

Tonight your elected representatives decided to invest in the infrastructure that keeps our water safe. Thank you and thank you, staff, and again, thank you to you intrepid and relentless clean water activists. Let’s do this.

ADJOURNMENT

Respectfully submitted,

Tiyi Schippers, Mayor

Sandra Wasson, City Clerk



Insights and applications for better financial management

City of Cadillac

Water and Sewer Rate Analysis Summary Presentation

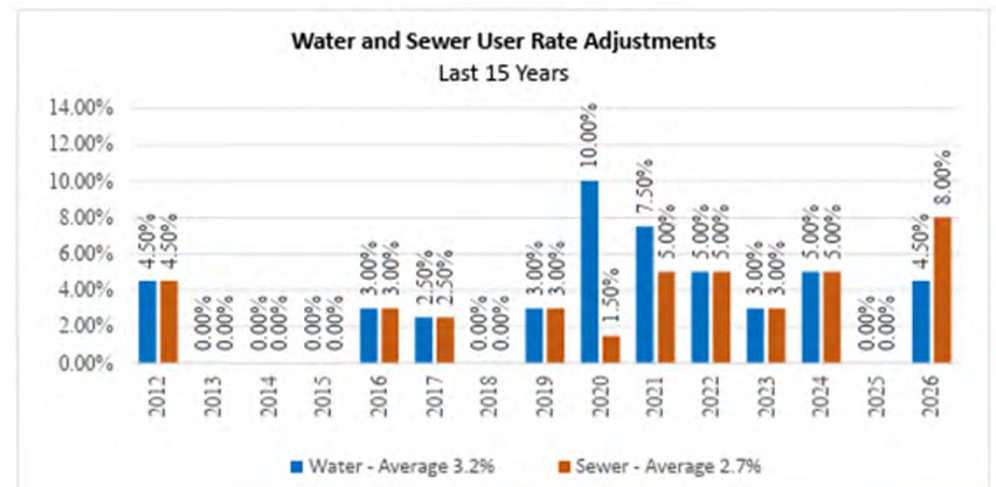
May 19, 2025



Financial Analysis Findings

- Overall, utility finances are weakening
 - Structural deficits are growing as revenues fall behind expenses
 - Cadillac has been reluctant to increase rates sufficiently, opting to defer capital in favor of maintaining lower rates
 - Deferring capital maintenance and investments is leading to more fragile utility infrastructure*
 - The longer capital improvements are deferred, the more they will cost to address in future years

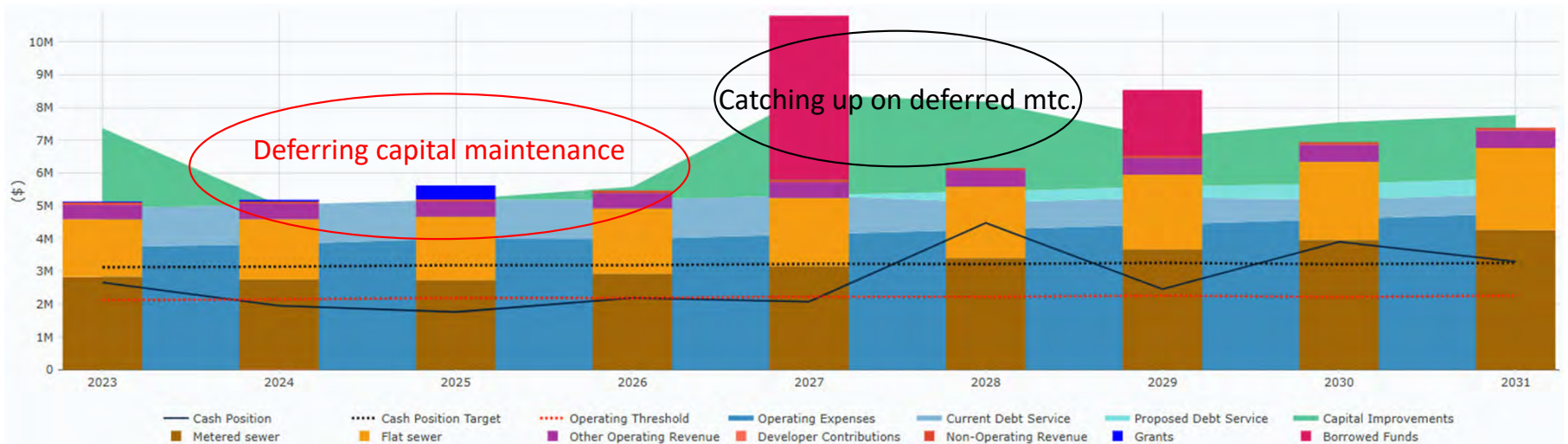
**As part of the 2017 Water Asset Management Plan, the City committed to prioritizing the maintenance of its infrastructure and ensuring the reliability and safety of the utility system. The associated financing plan was to fund capital projects to achieve these objectives. Over the past 8 years, the City has not upheld its commitment regarding the investment in infrastructure required.*



Long-term Financial and Rate Models

- Focus is on 6-year period of current CIP
- Water and sewer finances and rate requirements evaluated separately
- Forecasted O&M costs
- Layered in debt service and capital improvement plan
- Established cash reserve targets
- Tested rates required to fund all costs and meet reserve targets
- Evaluated potential use of future debt to maintain rates as low as possible while meeting capital requirements
- Smoothed rates over forecast period

Water and Sewer Summary Dashboard



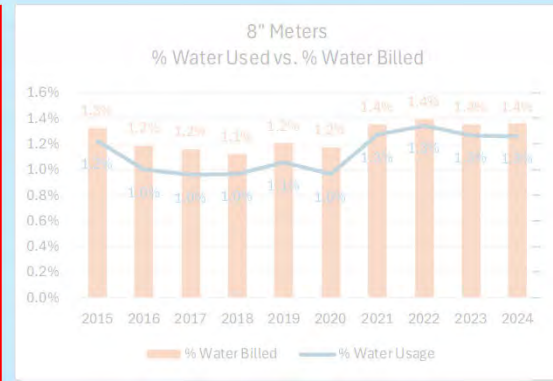
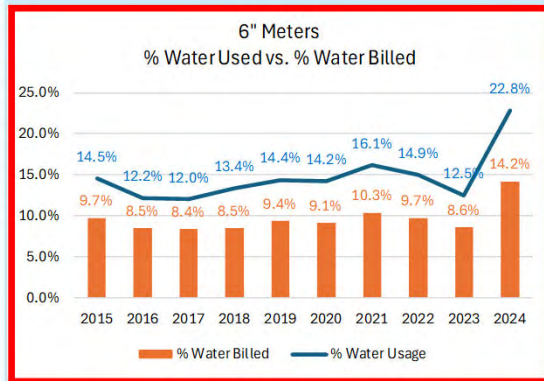
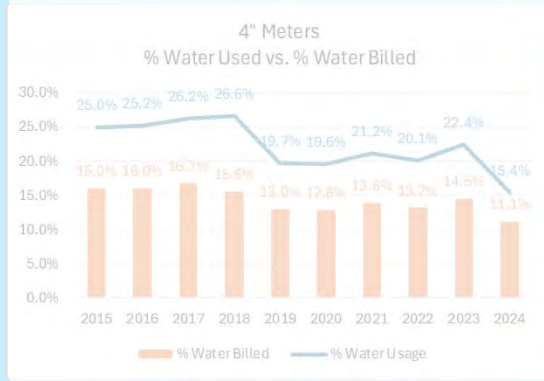
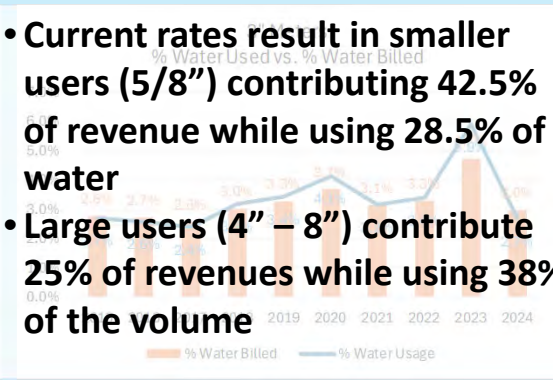
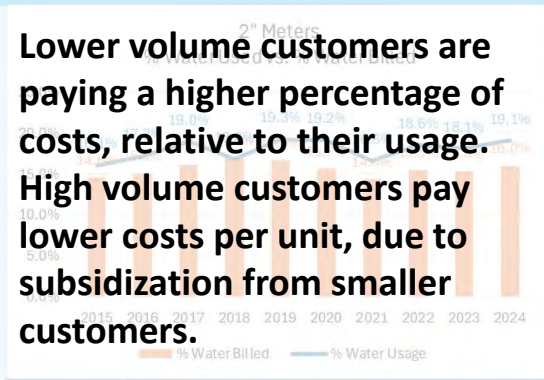
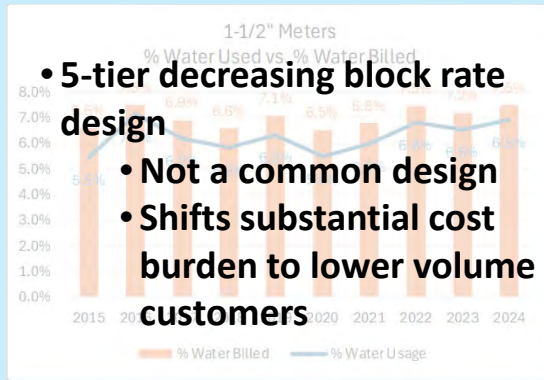
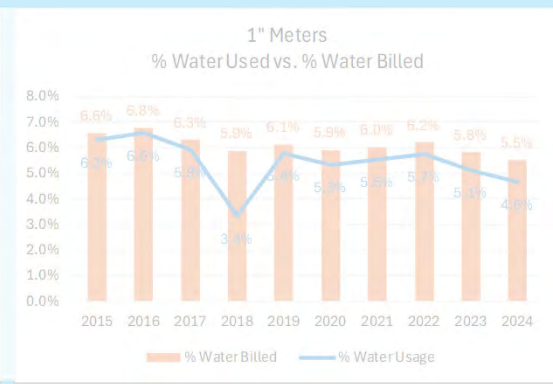
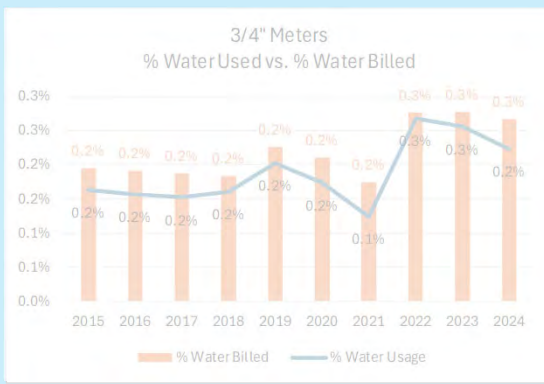
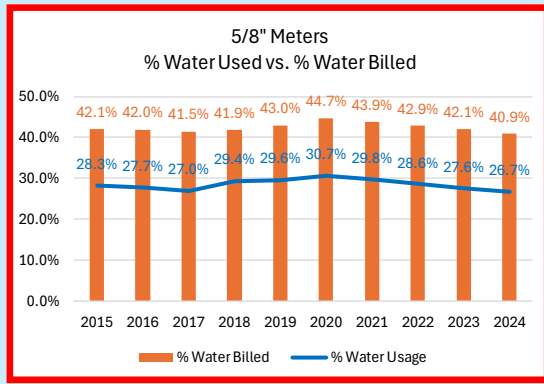
- Operating costs forecasted to increase an average of 3.6% per year
- Current debt service costs decrease by 32% in 2028 as older debt is paid off
- Ongoing capital investments needed to maintain utilities in good order
 - Only minimal capital in FY26: addressing structural operating deficit is first priority
 - New 2027 debt to replace retiring debt and fund minimal capital needs for several years
 - Average annual capital investments 2027-2031: \$2.2 million

Forecasted Rates

- 4.5% increase in water and 8% in sewer rates for FY 25-26 and for at least 5 more years
- Combined, a typical customer could see a 6.5% increase
 - Equates to about 10 cents per day for the average residential customer
- Required rate increases may be more or less than currently estimated, depending on capital planning, costs, grant opportunities, regulations, emergencies and customer demand
 - Note: Many utilities are expecting higher rate increases as deferred maintenance projects are planned and implemented

Rate Strategy

- Meaningful annual rate adjustments ensure system integrity and rate stability
 - Foregoing rate increases in one year will only require even higher increases in later years
- Strategic utilization of debt financing can help moderate rates
- Consider rate equity and impacts on all customers
 - Current rates provide substantial subsidy to large users, which is paid for by lower volume, residential users
 - The following slides illustrate equity issues by customer meter sizes



- 5-tier decreasing block rate design
- Not a common design
- Shifts substantial cost burden to lower volume customers

Lower volume customers are paying a higher percentage of costs, relative to their usage. High volume customers pay lower costs per unit, due to subsidization from smaller customers.

- Current rates result in smaller users (5/8") contributing 42.5% of revenue while using 28.5% of water
- Large users (4" – 8") contribute 25% of revenues while using 38% of the volume

Next Steps & Moving Forward

- Address structural deficit in budget
- Adopt FY 25-26 budget and rates
- Adopt and implement a multi-year capital improvement plan that will fund proactive replacement of assets before they fail
- Evaluate tiered rate structure for equity; consider reducing number of tiers over time to reduce subsidy paid by smaller customers
- Monitor & maintain utility financial models and rates
- Annually update rates based on long-range financial plans
 - Ensures system is well-maintained
 - Smooths rates year-to-year
 - Best chance of keeping rates as low as possible
 - Enables the City to leverage cash through matching grant funds

Discussion and Questions



Community Water and Sewer Rate Comparisons - November 2024

				Sorted By: Total Water + Sewer Bill								
Rank (Total Bill)	Community	Date of Last Adj.	Pop.	Water R.T.S. Rate	Water O & M /1000glns	Water Other	Total @ 6,000glns	Sewer R.T.S. Rate	Sewer O & M /1000glns	Sewer Other	Total @ 6,000 glns	Total Water & Sewer
1	Cadillac	7/1/2023	10,500	\$8.84	\$2.47		\$23.66	\$12.84	\$3.97		\$36.66	\$60.32
2	Niles	11/1/2024	11,211	\$18.50	\$2.39	per c.ft 100	\$32.84	\$18.25	\$2.55		\$33.55	\$66.39
3	Hudsonville	7/1/2024	7,160	\$11.00	\$2.77		\$27.62	\$14.00	\$4.25		\$39.50	\$67.12
4	Troy	7/1/2024	87,300		\$5.13	per c.ft 100	\$41.04		\$3.53		\$28.24	\$69.28
5	Middleville	1/1/2024	4,200	\$11.77	\$2.96		\$29.53	\$22.86	\$4.11		\$47.52	\$77.05
6	Traverse City	7/1/2023	15,678	\$16.00	\$2.17		\$20.34	\$47.00	\$5.95		\$58.90	\$79.24
7	Albion	8/15/2022	8,336	\$12.00	\$4.05	per c.ft 100	\$44.40	\$16.16	\$2.83		\$38.80	\$83.20
8	Grand Haven	7/1/2024	11,000	\$6.00	\$4.34		\$32.04	\$6.00	\$7.82		\$52.92	\$84.96
9	Dowagiac	3/10/2024	5,720	\$14.35	\$2.88		\$31.63	\$26.68	\$4.92		\$56.20	\$87.83
10	Sturgis	10/1/2024	10,994	\$18.00	\$3.20		\$37.20	\$19.00	\$5.30		\$50.80	\$88.00
11	Oxford	7/1/2015	3,540	\$21.45	\$3.96		\$45.21	\$33.00	\$1.75		\$43.50	\$88.71
12	Ithaca	7/1/2024	2,850	\$5.26	\$8.27		\$54.88	\$4.73	\$5.06		\$35.09	\$89.97
13	Westland	1/10/2024	85,000	\$11.75	\$4.65		\$39.65	\$12.25	\$6.43		\$50.83	\$90.48
14	Milford	7/1/2024	6,412	\$8.75	\$3.33	\$4.17	\$32.90	\$9.34	\$8.05	\$15.10	\$57.64	\$90.54
15	Hartford	7/1/2024	2,476	\$7.92	\$3.35	\$6.00	\$31.63	\$2.73	\$7.70	\$10.00	\$58.93	\$90.56
16	Newaygo	7/1/2024	2,471	\$24.23	\$3.56		\$45.59	\$20.58	\$4.41		\$47.04	\$92.63
17	Springfield	7/1/2024	5,281	\$15.22	\$2.95	per c.ft 100	\$38.82	\$17.90	\$4.72		\$55.66	\$94.48
18	Otsego	7/1/2024	4,120	\$7.42	\$2.36		\$21.58	\$17.98	\$9.46		\$74.74	\$96.32
19	Wayland	7/1/2024	4,440	\$15.92	\$3.19		\$35.06	\$26.00	\$6.00		\$62.00	\$97.06
20	Big Rapids	9/1/2023	7,727	\$5.50	\$6.15		\$42.40	\$10.00	\$7.67		\$56.02	\$98.42
21	Manistee	7/1/2024	6,083	\$5.10	\$3.60		\$26.70	\$12.72	\$9.89		\$72.06	\$98.76
22	Belding	6/30/2024	5,972	\$9.67	\$1.26	per c.ft 100	\$19.75	\$26.42	\$6.65		\$79.62	\$99.37
23	Three Rivers	7/1/2023	7,928	\$20.34	\$3.52	per c.ft 100	\$41.46	\$30.58	\$4.86		\$59.74	\$101.20
24	Plainwell	7/1/2024	3,804	\$15.42	\$3.95		\$39.12	\$3.17	\$7.19		\$62.16	\$101.28
25	Howell	1/1/2024	9,580	\$12.86	\$6.40		\$51.26	\$13.63	\$6.30		\$51.43	\$102.69
26	Chelsea	7/1/2024	4,944	\$5.76	\$6.44		\$44.40	\$16.10	\$7.44		\$60.74	\$105.14
27	Hastings	7/1/2024	7,512	\$15.73	\$3.24	per c.ft 100	\$41.65	\$26.24	\$4.95		\$65.84	\$107.49
28	Lowell	7/16/2024	3,783	\$29.34	\$2.86		\$46.50	\$31.00	\$5.11		\$61.66	\$108.16
29	Mt. Morris	1/1/2024	3,010	\$17.54	\$8.90		\$70.94	\$11.89	\$4.28		\$37.57	\$108.51
30	Rockford	5/15/2023	6,171	\$14.49	\$4.63		\$42.27	\$17.72	\$4.17	\$23.51	\$66.25	\$108.52
31	Birch Run	7/1/2024	1,525	\$28.45	\$7.95		\$76.15	\$32.70			\$32.70	\$108.85
32	Lawton	7/1/2024	1,850	\$17.60	\$4.05		\$41.90	\$38.00	\$5.00		\$68.00	\$109.90
33	Clare	7/1/2024	3,173	\$19.30								

2025 Water & Sewer Rate Study - Gosling Czubak Engineering Sciences, Inc.

Results Summary

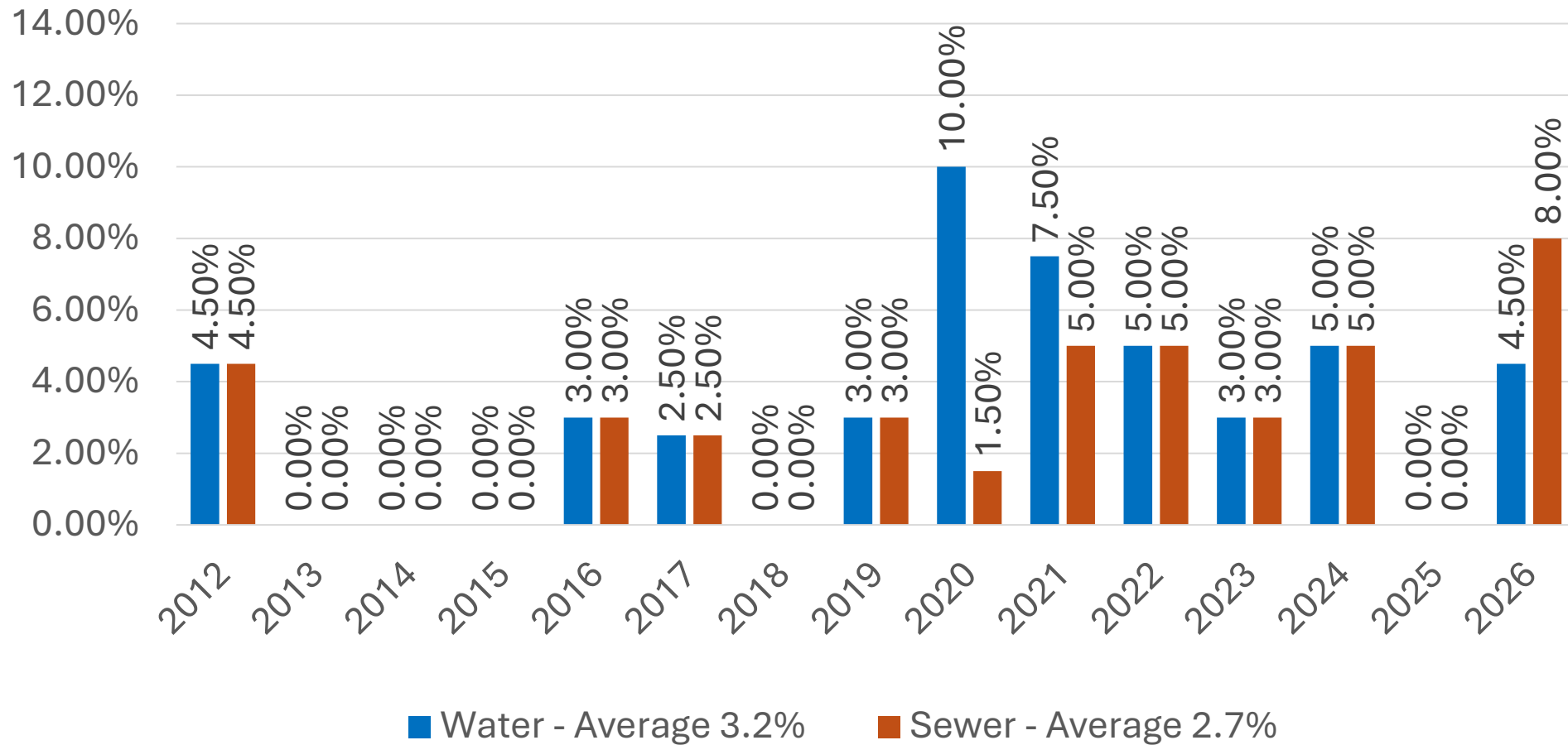
2025			2025			2025		
Rank	Water (27)	Total Water	Rank	Sewer (30)	Total Sewer	Rank	Community (26)	Water + Sewer
1	Traverse City	16.13	1	Garfield Township	20.80	1	Grayling	37.28
2	Grayling	16.40	2	Grayling	20.88	2	Garfield Township	40.50
3	Ludington	17.92	3	Ogemaw Township	21.67	3	Ludington	46.00
4	Gaylord	19.56	4	Ludington	28.08	4	Ogemaw Township	48.18
5	Garfield Township	19.70	5	Lake City	28.50	5	Cadillac	50.67
6	Cadillac	19.96	6	West Branch	28.65	6	Boyne City	58.34
7	Manistee	21.30	7	Cadillac	30.71	7	West Branch	62.14
8	Filer Township	21.94	8	Boyne City	33.58	8	Gaylord	62.73
9	Suttons Bay	22.86	9	Littlefield Township	38.72	9	Traverse City	63.13
10	Boyne City	24.76	10	Barryton	43.17	10	Suttons Bay	70.28
11	Ogemaw Township	26.51	10	Gaylord	43.17	11	Rogers City	75.15
12	Onaway	27.47	12	Clare	44.87	12	Manistee	80.53
13	Rogers City	29.28	13	Alanson	45.00	13	Clare	80.97
14	Ewart	31.47	14	Rogers City	45.87	14	Roscommon	85.87
15	Empire	31.83	15	Traverse City	47.00	15	Lake City	88.85
16	West Branch	33.49	16	Suttons Bay	47.42	16	Ewart	92.41
17	Roscommon	34.03	17	Roscommon	51.84	17	East Jordan	94.74
18	Haring Township	35.08	18	Elk Rapids Township	54.15	18	Filer Township	104.00
19	Clare	36.10	19	East Jordan	55.50	19	Kalkaska	104.44
20	Tawas City	38.55	20	Manistee	59.23	20	Tawas City	107.54
21	East Jordan	39.24	21	Kalkaska	59.84	21	Onaway	111.77
22	Kalkaska	44.60	22	Ewart	60.94	22	Mackinaw City	124.35
23	Charlevoix	50.53	23	Mackinaw City	67.62	23	Haring Township	125.54
24	Mackinaw City	56.73	24	Elk Rapids	68.46	24	Charlevoix	126.64
25	Elk Rapids	58.95	25	Tawas City	68.99	25	Elk Rapids	127.41
26	Munising	60.19	26	Charlevoix	76.11	26	Munising	151.69
27	Lake City	60.35	27	Filer Township	82.06			
			28	Onaway	84.30		Average	85.43
	Average	33.15	29	Haring Township	90.46		Cadillac	50.67
	Cadillac	19.96	30	Munising	91.50		Difference	(34.76)
	Difference	(13.19)						
				Average	51.30			
				Cadillac	30.71			
				Difference	(20.59)			

Water/Sewer Rate Adjustment Comparison		
Community	Water	Sewer
Cadillac	4.50%	8.00%
Ferndale	9.00%	9.00%
Ionia-Commodity	9.50%	0.60%
Ionia-Debt Service	1.80%	0.90%
Ludington	7.50%	4.90%
Manistee	7.00%	2.25%
Middleville	10.00%	10.00% Next 5 years
Monroe	5.10%	5.30%
Northville	10.00%	3.55%
Spring Lake Twp-Commodity*	5.78%	3.05%
Sturgis	6.90%	2.00%
Wayne	4.00%	4.00%
Average	6.76%	4.46%
Spring Lake Twp-RTS*	32.55%	73.44%

* Spring Lake Twp adjusted commodities and RTS differently

Water and Sewer User Rate Adjustments

Last 15 Years



Budget Hearing Required by City Charter

Required by Charter

- ✓ Budget to City Council ‘...On or before the first day of April in each year...’ **(Section 10.2)** ✓
- ✓ Public Hearing – public hearing in ‘...the second half of the month of April...’ **(Section 10.3)**
- Budget Adoption - ‘Not before the 10th day of May, nor later than the last day in May in each year...’ **(Section 10.4)**
 - Note:** per Section 5.6(b)(5), appropriating funds requires the affirmative vote of four or more members of the Council.
- Budget Amendments – Budget ordinance grants authority to amend the budget, when necessary, by resolution

Public Process of Adopting Annual Budget

Public Meetings

- ✓ Goals/Capital Work Session 3/17/2025
- ✓ Work Session 4/7/2025
- ✓ Water/Sewer Open House 4/16/2025
- ✓ Public Hearing 4/21/2025
- ✓ Introduce General Appropriations Ordinance 5/5/2025
- ✓ Public Hearing/Adopt General Appropriations Act Ordinance 5/19/2025

Budget available for public review and input

- ✓ City Clerk's Office
- ✓ www.cadillac-mi.net/FY2026Budget

**COST SHARING AGREEMENT
CITY OF CADILLAC AND
CITY OF CADILLAC DOWNTOWN DEVELOPMENT AUTHORITY**

This Cost Sharing Agreement (“Agreement”) is made and entered into this ____ day of _____, 2025, by and between the CITY OF CADILLAC, a municipal corporation organized under the laws of the State of Michigan, with its principal offices located at 200 N. Lake Street, Cadillac, MI 49601 (“City”), and the CITY OF CADILLAC DOWNTOWN DEVELOPMENT AUTHORITY, a public body corporation established pursuant to Michigan Public Act 197 of 1975, as amended, with its principal offices located at 200 N. Lake Street, Cadillac, MI 49601 (“DDA”).

WHEREAS, the DDA, pursuant to MCL 125.4205, may employ and fix the compensation of a director, subject to the approval of the Cadillac City Council, and employ such other personnel as it deems necessary; and

WHEREAS, the DDA seeks the services of a Main Street Program Manager/DDA Director (“Director”) to lead its administration and activities, and the City is willing to provide such services; and

WHEREAS, the City and the DDA desire to enter into a cost-sharing arrangement to support the revitalization and economic development of the downtown district of Cadillac in accordance with the DDA’s Development Plan and Tax Increment Financing Plan;

NOW, THEREFORE, in consideration of the mutual covenants and promises herein contained, the receipt and sufficiency of which are hereby acknowledged, the City and the DDA agree as follows:

1. **APPOINTMENT OF DIRECTOR.** The DDA hereby contracts with the City to provide personnel to serve as the Director of the DDA, and the City agrees to provide such services, effective upon the execution of this Agreement.

2. **COMPENSATION.** The DDA shall pay the City 100% of the costs of employing the Director, including the costs of payroll, insurance, and benefits, for the services of the Director. The compensation amount shall be reviewed annually by mutual agreement of the parties. The DDA is responsible for training costs for the Director unless the City approves payment for such training costs.

3. **DUTIES OF THE DIRECTOR.** The Director shall perform the duties set forth in the job description attached as **Exhibit A**, which is incorporated by reference.

4. **CITY RESPONSIBILITIES.** The City shall:

- a. Assign personnel to staff the Director position.

- b. Provide and maintain an office for DDA business, if requested by the DDA Board, including but not limited to a dedicated email address, telephone number, website, and public office hours.
- c. Have the sole right to discipline, terminate, and/or replace the employee assigned to the Director position in compliance with applicable City policies. The Director shall be an “at will” employee of the City.

5. DDA BOARD’S SUPERVISION OF DIRECTOR.

- a. Notwithstanding Section 3, the DDA Board shall supervise the work of the Director, with the assistance of the City Manager.
- b. The Director shall serve at the pleasure of the DDA Board. The City Manager may recommend compensation adjustments, discipline, and termination to the DDA Board. The DDA Board may, at any time and in its direction, notify the City that the employee assigned to serve as Director is no longer suitable for the role of Director, in which case the DDA shall select a new Director, subject to the consent of City Council.

6. TERM AND TERMINATION.

- a. This Agreement shall commence on the date of execution and shall continue until terminated by either party.
- b. Either party may terminate this Agreement, with or without cause, upon thirty (30) days’ written notice to the other party.
- c. Upon termination, the DDA shall pay the City for any services rendered up to the effective date of termination.

7. NOTICES. All notices required under this Agreement shall be in writing and sent by certified mail, postage prepaid, to:

If to the City: City of Cadillac 200 N. Lake Street Cadillac, MI 49601 Attn: City Manager

If to the DDA: City of Cadillac Downtown Development Authority 200 N. Lake Street Cadillac, MI 49601 Attn: DDA Chairperson

8. GOVERNING LAW. Michigan law governs this Agreement. Any disputes arising under this Agreement shall have proper venue in Wexford County, Michigan.

9. ENTIRE AGREEMENT. This Agreement constitutes the entire understanding between the parties with respect to the subject matter herein and supersedes all prior agreements, whether written or oral. No amendment or modification of this Agreement shall be valid unless in writing and signed by both parties.

10. **SEVERABILITY.** If any provision of this Agreement is determined by a court of competent jurisdiction to be invalid or unenforceable, the remaining provisions shall remain in full force and effect.

IN WITNESS WHEREOF, the parties hereto have executed this Agreement as of the day and year first above written.

CITY OF CADILLAC

By: _____

Name: _____

Title: City Manager

CITY OF CADILLAC DOWNTOWN DEVELOPMENT AUTHORITY

By: _____

Name: _____

Title: Chairperson

City of Cadillac

Financial Services Department
FY2025 Budget Amendment #3
May 19, 2025

EXHIBIT A

Current Budget	Amended Budget	Increase (Decrease)
-------------------	-------------------	------------------------

GENERAL FUND

Department: Revenue	\$8,917,500	\$9,319,300	\$401,800
Amended Line Items Detail			
Marijuana Tax	110,000	116,400	6,400
Property Tax Administration Fee	150,000	161,200	11,200
State of Michigan	0	51,400	51,400
Fire Protection	225,000	244,800	19,800
Rental Housing Ordinance Fee	7,000	15,000	8,000
Interest Income	100,000	240,000	140,000
Insurance Proceeds	0	80,000	80,000
Contributions from Private Sources	5,000	90,000	85,000

Purpose: To recognize additional revenue from the following:

Marijuana Tax - actual revenue shared from State of Michigan.

Property Tax Administration Fee - 1% of total taxes levied; based on final tax roll.

State of Michigan - grant funding to sponsor cadet through Police Academy and for Firefighter Turnout Gear Grant.

Fire Protection - actual revenue based on final taxable value of Clam Lake Township.

Rental Housing Ordinance Fee - actual revenue from enforcement of rental registration program.

Interest Income - additional earnings from rising interest rates and interest on checking account.

Insurance Proceeds - proceeds from claims on two total-loss accidents involving police patrol cars.

Contributions from Private Sources - funds received in current year for Diggins Hill donations.

Department: City Council	\$66,200	\$70,200	\$4,000
Amended Line Items Detail			
Travel and Education	8,000	12,000	4,000

Purpose: Appropriate additional funds for travel and education for City Council based on an increase in participation and costs related to statewide training events.

City of Cadillac

Financial Services Department
FY2025 Budget Amendment #3
May 19, 2025

EXHIBIT A

	Current Budget	Amended Budget	Increase (Decrease)
--	-------------------	-------------------	------------------------

Department: Financial Services	\$455,900	\$460,300	\$4,400
Amended Line Items Detail			
Audit	15,000	19,400	4,400

Purpose: *Appropriate additional funds for annual independent audit based on bid costs.*

Department: Municipal Complex	\$1,699,000	\$1,724,000	\$25,000
Amended Line Items Detail			
Liability Insurance	115,000	140,000	25,000

Purpose: *Appropriate additional funds for liability and property insurance.*

Department: City Attorney	\$200,000	\$250,000	\$50,000
Amended Line Items Detail			
Contractual Services	65,000	100,000	35,000
Legal Fees	100,000	115,000	15,000

Purpose: *Appropriate additional funds for legal fees based on actual year-to-date activity.*

Department: Police Department	\$2,738,800	\$2,890,800	\$152,000
Amended Line Items Detail			
Operating Supplies	20,000	32,000	12,000
Fuel Costs	32,000	37,000	5,000
Capital Outlay	80,000	215,000	135,000

Purpose: *Appropriate additional funds for supplies, fuel costs, and capital outlay. Capital Outlay increase is the result of purchasing additional vehicles based on total loss accidents on two patrol vehicles. A majority of these costs were recovered through insurance claims.*

Department: Fire Department	\$933,600	\$968,600	\$35,000
Amended Line Items Detail			
Capital Outlay	16,000	51,000	35,000

Purpose: *Appropriate additional funds for purchase of 10 sets of turnout gear that was 100% covered by a State of Michigan grant.*

City of Cadillac

Financial Services Department
FY2025 Budget Amendment #3
May 19, 2025

EXHIBIT A

Current Budget	Amended Budget	Increase (Decrease)
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Department: Engineering	\$40,000	\$75,000	\$35,000
Amended Line Items Detail			
Contractual Services	40,000	75,000	35,000

Purpose: Appropriate additional funds for contractual engineering costs. Engineer has provided significant assistance with several large grant applications during the year.

Department: Economic Development	\$5,000	\$95,000	\$90,000
Amended Line Items Detail			
Special Projects	5,000	95,000	90,000

Purpose: Appropriate additional funds for Diggins Hill Project. This project is primarily funded by the Cadillac Rotary Club, with additional costs for engineering and excavation funded through the City. Additional costs will be incurred in FY2026.

Department: Community Promotions	\$89,300	\$94,500	\$5,200
Amended Line Items Detail			
Salaries and Wages	26,000	30,000	4,000
Benefits	17,800	19,000	1,200

Purpose: Appropriate funds for additional DPW crew activities related to community events and maintenance of public areas.

General Fund Summary	Prior Approved	Amended	Change
Revenues	\$8,917,500	\$9,319,300	\$401,800
Expenditures	9,277,700	9,678,300	400,600
Revenues Over (Under) Expenditures	(\$360,200)	(\$359,000)	

City of Cadillac

Financial Services Department

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Water and Sewer Fund

Revenue	\$5,281,000	\$5,681,000	\$400,000
Amended Line Items Detail			
State of Michigan	0	400,000	400,000

Purpose: To recognize revenue from State grant for lead and copper activities.

Expenditures	\$5,328,600	\$5,561,600	\$233,000
Amended Line Items Detail			
Administration			
Contractual Services	15,000	150,000	135,000
Engineering Fees	30,000	40,000	10,000
Liability Insurance	52,000	70,000	18,000

Purpose: Appropriate additional funds for activities related to the lead and copper grant, additional engineering fees, and liability insurance.

Preliminary Treatment			
Disposal Costs	9,000	12,000	3,000

Purpose: Appropriate additional funds for hauling and disposal of sludge.

Tertiary Treatment			
Operating Supplies	4,000	9,000	5,000

Purpose: Appropriate additional funds for supplies needed in the tertiary treatment process.

Nutrient Removal			
Chemicals	40,000	80,000	40,000

Purpose: Appropriate funds to account for increase in cost of ferric choloride after recent bid process.

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Industrial Surveillance

Contract Lab Costs	8,000	25,000	17,000
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Purpose: *Appropriate funds to account for increase in contract lab costs related to testing as part of the IPP requirements.*

General Lab Expenses

Operating Supplies	15,000	20,000	5,000
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Purpose: *Appropriate funds for additional lab supplies needed during the year.*

Major Street Fund

Expenditures	\$1,551,700	\$1,891,700	\$340,000
Amended Line Items Detail			
Construction	100,000	440,000	340,000

Purpose: *Appropriate funds for Leeson Street project. Funds were originally budgeted in prior year.*

Cemetery Operating Fund

Revenue	\$166,000	\$173,100	\$7,100
Amended Line Items Detail			
Contribution from Private Sources	0	7,100	7,100

Purpose: *Recognize revenue from private donation for special project.*

Expenses	\$226,300	\$233,400	\$7,100
Amended Line Items Detail			
Capital Outlay	8,000	15,100	7,100

Purpose: *Appropriate additional funds for the costs of a special project funded through a private donation.*

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Cooley School Project Fund (New Fund)

Revenue	\$0	\$10,000	\$10,000
Amended Line Items Detail			
Federal Funds	0	10,000	10,000

Purpose: Recognize revenue from federal grant for Cooley School redevelopment project.

Expenditures	\$10,000	\$20,000	\$10,000
Amended Line Items Detail			
Contractual Services	0	10,000	10,000

Purpose: Appropriate funds for services related to grant for Cooley School redevelopment.

Cadillac Development Fund

Revenue	\$12,500	\$37,500	\$25,000
Amended Line Items Detail			
State of Michigan	0	25,000	25,000

Purpose: Recognize revenue from Match on Main passthrough grant from State of Michigan.

Expenditures	\$73,500	\$108,500	\$35,000
Amended Line Items Detail			
Contractual Services	10,000	35,000	25,000

Purpose: Appropriate funds for passthrough Match on Main grant on behalf of Walraven's.